Mergers & Takeovers

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Reasons for mergers and takeovers

- Firms often grow **organically** to the point where they are in a financial position to **integrate** with others
- Merging with or taking over other businesses results in rapid business growth and is referred to as **inorganic growth**
  - **A merger** occurs when two or more companies combine **to form a new company**
    - The original companies cease to exist, and their assets and liabilities are transferred to the newly created entity
  - **A takeover** occurs when **one company purchases another company**, often against its will
    - The acquiring company **buys a controlling stake in the target firm's shares** (more than 50%) and gains control of its operations

Why firms integrate with others

- **Strategic fit**
  - A company may acquire another company to expand into new markets, diversify its product offerings or gain access to new technology
    - E.g. in 2010, Kraft Foods purchased Cadbury's to increase its product offering and expand business sales in the UK
- **Economies of scale**
  - Growth creates economies of scale
    - Consolidation of two or more businesses typically **reduces costs** and **increases efficiency**
- **Synergies**
  - Synergies are the **benefits** that result from the combination of two or more companies, such as increased revenue, cost savings or improved product range
- **Elimination of competition**
  - Takeovers are often used to eliminate competition, and the acquiring company **increases its market share**
    - E.g. Meta, the parent company of Facebook, purchased WhatsApp in 2014, as it was a major

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value for shareholders
    - By combining companies, shareholders can benefit from increased profits, **dividends** and share prices

Types of integration

Horizontal integration

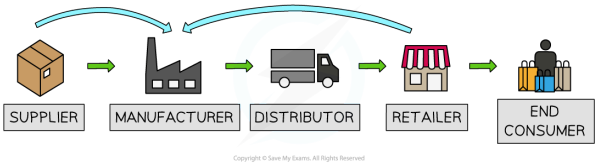
- A merger or takeover of a firm at the same stage of the production process
    - E.g. an ice cream manufacturer takes over another ice cream manufacturer

Evaluating horizontal integration

Advantages	Disadvantages
• A rapid increase in **market share** • Reductions in the cost per unit due to **economies of scale** • Reduces competition • Existing knowledge of the industry means the merger is more likely to be successful • The firm may gain new **knowledge** or **expertise**	• **Diseconomies of scale** may occur as costs increase, e.g. unnecessary duplication of production facilities • If the integration leads to a reduction of competition, **regulators may investigate** the merger or block it

Vertical integration

- A merger or takeover of another firm in the supply chain or different stage of the production process
    - E.g. an ice cream manufacturer merges with a dairy farm



A diagram that illustrates how a firm can grow through forward or backward vertical integration

- **Forward vertical integration** involves a merger or takeover with a firm further forward in the supply chain
    - E.g. a dairy farmer merges with an ice cream manufacturer
- **Backwards vertical integration** involves a merger or takeover with a firm further backwards in the supply chain

Help me understand

Evaluating vertical integration

Advantages	Disadvantages
• Reduces the **cost of production** as middleman profits are eliminated • Lower costs make the firm more **competitive** • Greater control over the supply chain **reduces risk**, as access to raw materials is more certain • The **quality of raw materials** can be controlled • Forward integration adds **additional profit**, as profits from the next stage of production are assimilated • Forward integration can increase **brand visibility**	• **Diseconomies of scale** occur as costs increase, e.g. as a result of unnecessary duplication of management roles • There can be a **culture clash** between the two firms that have merged • Possibly, **a lack of expertise** in running the new firm results in **inefficiencies** • The price paid for the new firm may take a long time to recoup

The financial risks and rewards of mergers and takeovers

- Inorganic growth carries both risks and rewards for a business

Financial risks and rewards of inorganic growth

Financial risks	Financial rewards

• **Overpayment**
  ○ If the acquiring company pays too much for the target company, it may not be able to recoup the investment through increased revenue or cost savings
	• **Increased market share**
	  ○ By acquiring another company, an increase in market share may lead to increased **sales revenue** and **profitability**

• **Integration challenges**
  ○ Integrating two companies can be complex and costly
	• **Synergy**
	  ○ Mergers may result in **cost savings** through the

of key staff	increased efficiency

• **Cultural differences**
  ○ Mergers and takeovers can result in clashes of company cultures, impacting productivity
	• **Diversification**
	  ○ Selling a wider variety of goods and services reduces the risks associated with selling a single product

• **Opposition**
  ○ Mergers and takeovers may face opposition from regulators or other stakeholders, such as shareholders
	• **Access to new markets**
	  ○ Acquiring a company with a strong presence in a new market increases the customer base and sales revenue

• **Debt**
  ○ Acquiring companies may take on debt to finance the integration, which can increase financial risk and reduce flexibility
	• **Increased value**
	  ○ Mergers may increase the overall value of the combined company, benefitting shareholders

Problems of rapid growth

- Inorganic growth often increases the size of the business significantly in a **very short period of time**
- This rapid growth can bring success, but if not managed well, it can lead to financial pressure, lower quality, unhappy customers and internal conflict
- Businesses must plan growth carefully to avoid these issues

Problems caused by rapid growth

Problems caused by rapid and inorganic growth include culture clash and diseconomies of scale

1. Strain on cash flow

- Rapid growth often means higher spending before extra revenue comes in
- A business may need to:
  - Hire more staff
  - Invest in stock and equipment
  - Open new locations
- This puts pressure on cash flow
  - If the business doesn't have enough working capital, it may struggle to pay suppliers or wages on time

2. Increased management complexities

- As a business grows, operations become harder to control
- Managers might:
  - Be given too many tasks
  - Lose track of team performance
  - Struggle to make decisions quickly
- This can lower productivity and delay key actions
  - E.g. a technology company that suddenly triples in size may find that decision-making slows down and projects are delayed

3. Quality control issues

- When a business expands quickly, its existing systems may not be able to cope
- This can lead to:
  - Mistakes in production
  - Poor-quality products
  - Inconsistent service
- E.g. a bakery that rushes to open new branches may find its cakes vary in quality between stores

4. Customer service issues

- With more customers and not enough trained staff, service levels can fall
- Problems might include:
  - Longer waiting times
  - Missed orders
  - Poor communication

5. Culture clash

- If growth happens through mergers or takeovers, employees from different businesses may have different ways of working
- This can cause:
  - Disagreements
  - Lower morale
  - Poor teamwork
- E.g. if a relaxed, creative business merges with a more hierarchical, corporate one, staff may feel uncomfortable or confused about expectations

6. Diseconomies of scale

- When a business becomes too large, average costs can rise
- This is often due to:
  - Poor communication
  - Slow decision-making
  - Loss of motivation
- Detailed revision notes on diseconomies of scale are here

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